

Hertz Global Holdings, Inc.: disclosure changes, FY2012 to FY2013

Compares the Form 10-K reports for the years ended December 31, 2012 and 2013 and the two fourth-quarter results releases. "Pre-tax" is FY2013 income before income taxes of \$663.1M.

1. Full write-ups

Depreciation policy (Note 2): car holding range lengthened and relabelled

- **Before:** "Useful lives are as follows: Cars | 4 to 28 months" (FY2012 report, p. 81).
- **After:** "Holding periods are as follows: Cars | 4 to 36 months" (FY2013 report, p. 91).
- **Why it matters:** The top of the range rose by eight months, and the company names "optimization of fleet holding periods" among the reasons U.S. rate changes cut 2013 depreciation by \$44.2M (p. 126). Neither report discloses the range change as a change in estimate, and the holding-period share of the \$44.2M is not split out. Size: 6.7% of FY2013 pre-tax income of \$663.1M.
- **Reading:** Possibly the reporting is stretched, because cars were depreciated over a longer span in the year U.S. disposals swung to a \$48.2M loss. Evidence that cars were in fact sold older, with disposal results back near break-even, would point to an ordinary integration of the Dollar Thrifty fleet.

Depreciation (Note 8 and management discussion): "strong" dropped and the reason for the rate cuts changed

- **Before:** "indicative of the strong residual values experienced in the U.S." (FY2012 report, p. 113); lower per-vehicle depreciation was "due to improved residual values in the U.S." (p. 42).
- **After:** "also indicative of the residual values experienced in the U.S."; the cuts now "reflect changes from the impact of car sales channel diversification... and the optimization of fleet holding periods" (FY2013 report, p. 126).
- **Why it matters:** The sentence tested in the single-year assessment is a carry-over with one word removed, while the U.S. disposal result it rests on went from a \$100.6M gain to a \$48.2M loss. The management discussion also dropped "residual values have remained fairly stronger" and the warning that a car's market value may "be less than its estimated residual value" (FY2012 p. 41–42); the warning survives only in risk factors (FY2013 p. 23). Size: 6.7% of pre-tax (the \$44.2M cut); the disposal swing of \$148.8M is 22.4%.
- **Reading:** Most likely the business weakened and the wording was trimmed to match, with the estimate itself left favourable. A different reading would follow if the 2013 losses came mainly from one-off sales timing, which the note also cites.

Controls and Note 2: prior years revised; Dollar Thrifty no longer outside the controls test

- **Before:** No error correction; "We have excluded from our evaluation the internal controls... of Dollar Thrifty", 21% of total assets (FY2012 report, p. 141).
- **After:** New section "Correction of Errors... out of period errors totaling \$46.3 million" (FY2013 report, p. 83); new general ledger "implemented" in the third quarter (p. 159); the exclusion is dropped.
- **Why it matters:** 2012 pre-tax income is now \$441.4M, not \$450.6M, so company-wide pre-tax growth reads 50.2% rather than 47.2%, and adjusted pre-tax growth 29.2% rather than 27.9%. Size: \$34.7M moved to prior years, 5.2% of pre-tax; \$46.3M in total, 7.0%.
- **Reading:** Possibly the control conclusion is generous, as before; the comparison adds that the named errors (vendor incentives, Brazil) are not attributed to the newly tested Dollar Thrifty. One isolated process, already fixed, would point to ordinary.

2. Other changes

- **Legal:** The Nevada fee case moved from "a stay order and... mediation" (FY2012 p. 122) to restitution granted in part and a judgment that "could potentially exceed \$40.0 million" (FY2013 p. 137), an exposure of 6.0% of pre-tax. A securities class action is new (p. 138).
- **Pricing measure:** "Rental rate revenue per transaction day", which left out items "beyond the control of management" (FY2012 p. 49), became "Total RPD", which covers what management "has the ability to control" (FY2013 p. 49). The 2012 U.S. decline is 3.1% on the old basis (FY2012 p. 42) and 2.8% on the new (FY2013 p. 58).
- **Adjusted pre-tax income:** "non-cash debt charges" became "debt-related charges" (FY2012 p. 50; FY2013 p. 50). Integration (\$40.0M), relocation (\$7.8M) and impairment (\$44.0M) are new exclusions, together 13.8% of pre-tax. The releases raise the "normalized" tax rate from 34% to 35% (2012 release p. 20; 2013 release, unnumbered page), against a reported 47.8%.

- **Cars sold:** 2012 non-program car sales were 178,300 worldwide (FY2012 p. 42) but are now 136,400 U.S. plus 54,500 international, or 190,900 (FY2013 pp. 42–43), 7.1% higher with no explanation.
- **Risk factors:** "Several of our remaining multiemployer plans have underfunded liabilities" (FY2012 p. 25) became "could have significant underfunded liabilities" (FY2013 p. 26). "We are not a party to any long-term car supply arrangements" (FY2012 p. 22) was dropped (FY2013 p. 23).

3. What stayed the same

Statement	Pages, FY2012 and FY2013	The number, FY2012 and FY2013	Still fits?
"with fewer program cars in our fleet"; "we have decreased the percentage of program cars"	pp. 22, 41 and pp. 23, 42	Program share of the U.S. fleet 5% then 9%; international 21% then 24%	No, for 2013
Average holding period "eighteen months in the United States"	p. 11 and p. 11	Top of stated range 28 then 36 months; U.S. fleet over non-program cars sold 31.6 then 29.7 months (a ceiling)	Can't tell; rough test
Allowance "based on our historical experience"	p. 81 and p. 90	Allowance over write-offs 1.00 then 0.76 times; write-offs up 37.5%, allowance up 5.1%	Strained; rough test
Intangible lives "range from two to fifteen years"	p. 83 and p. 93	Donlen lives of 16 and 20 years disclosed (p. 89 and p. 99); amortization 8.8% then 10.5% of average gross	No, both years; small

4. Disclosed changes in estimates or policies

Change	Year	Stated effect on income	Page
U.S. car depreciation rates lowered	2012	+\$139.4M (shown as +\$130.6M for all car rental in the FY2012 report, net of the international increase)	FY2013 p. 126; FY2012 p. 113
U.S. car depreciation rates lowered	2013	+\$44.2M, 6.7% of pre-tax	FY2013 p. 126
Out-of-period errors corrected by revising prior years	Found in 2013	–\$18.7M in 2011, –\$9.2M in 2012, –\$11.6M in 2013's first nine months; \$46.3M in total	FY2013 pp. 83–87
International car depreciation rates raised	2012, 2013	–\$8.8M, then –\$5.0M (0.8% of pre-tax)	FY2013 p. 126
Convertible note settlement policy changed	2013	No income effect; \$7.7M added to the earnings-per-share numerator	FY2013 p. 149
Equipment rental depreciation rates	2012, 2013	–\$0.5M, then +\$0.4M	FY2013 p. 126

5. Not in the documents

Neither report has a separate receivables or inventory note, and the fuller related-party disclosure sits in proxy statements that were not attached.